Premiumisation of the Indian Automotive Industry : A New Era of Quality, Innovation and pushing the boundaries

By Dr. Raghupati Singhania, Chairman & Managing Director, JK Tyre & Industries Limited

The story of the post-independence Indian automotive industry is one of drastic transformation. Once seen as a market in which global auto giants could earn a quick buck off poorly engineered cars, the country today has evolved into a marketplace populated by value-conscious but ever more discerning customers.

A rapidly growing economy, rising disposable incomes and the emergence of an expanding middle class have made the country one of the most promising auto markets in the world.

It's a market no automaker can afford to ignore. But it is now also a market in which their products have to impress to win over the Indian customer.

Reflective of India's growing global economic stature, the aspirations of the Indian car buyer have changed. Car owners in India today are still value-conscious. But they no longer judge value simply by price. Indians today measure value by how cutting edge their car is, what features it packs, how technologically immersive an experience it offers and how safe it is.

This, coupled with the dawn of the EV era in the industry, has driven domestic manufacturers vying with the biggest global names to offer as much as they can for as little as they can in their quest to win over the Indian buyer.

This premiumisation is spilling over into the broader auto components and ancillaries space, spurring the innovation, research and development and the production of more high-tech, higher-value products, all across the automotive value chain.

This includes tyres. Developing tyres for the demands of modern-day car owners is becoming a bit of a black art. It involves exhaustive research and development, innovation and pushing of the boundaries.

As a homegrown Indian pioneer of cutting-edge products, we at JK Tyre have had a ringside view of how tyre technology has developed. Indeed, we have been instrumental in developing it.



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> **IT IS ESSENTIAL FOR THE INDUSTRY TO INVEST IN R&D, EMBRACE NEW TECHNOLOGIES, AND FOSTER INNOVATION IN BOTH TRADITIONAL AND EVS**

We have steadily invested in people and equipment over the years that has empowered us to develop the most innovative tyres for Indian roads.

We have established a Centre of Excellence in Mysuru that has been pivotal to this effort. Its research into the use of advanced materials in collaboration with universities here in India and abroad has paid dividends.

All of this R&D has trickled down into our products and helped us bring to market a whole range of technologically advanced products from Smart tyres, Puncture-Guard tyres to fuel-efficient, low rolling-resistance tyres, which in particular have a key role to play in boosting the range of EVs.

Incorporating nano-technology, advanced tyre mechanics, vehicle dynamics, tyre-road-vehicle integration, we have made great strides in the quality, durability, safety and efficiency of our products.

We are the pioneers, but our evolution is merely reflective of the change sweeping across the tyre manufacturing sector and indeed the automotive industry as a whole.

And this change has put the industry as a whole on track for a bright future.

The emerging trends and opportunities that are shaping the future of mobility are offering Indian OEMs and suppliers unique prospects for carving out their place in the global automotive landscape. Technological disruptions such as e-mobility and connectivity, evolving emissions and safety regulations, and a growing demand for premium and electric vehicles, are the factors at play. The convergence of these dynamics is opening up new avenues for auto component manufacturers and driving the growth of the Indian automotive industry.

In conclusion, the growth of the Indian automotive industry has been remarkable, and its future outlook, including the prospects for EVs, remains promising. To fully capitalize on this potential, it is essential for the industry to invest in R&D, embrace new technologies, and foster innovation in both traditional and electric vehicles. Doing so will put India on course to securing its position as a major global automotive player.